

Cabo Verde

Transfer Pricing Country Profile¹

October 2025

		SUMMARY	REFERENCE
The Arm's Length Principle			
1	Does your domestic transfer pricing framework ² make reference to the arm's length principle?	☒ Yes ☐ No	Article 65 of the Corporate Income Tax Code Article 3 Ministerial Order (Portaria) n.º 75/2015, of the 31st of December
2	Does your domestic transfer pricing framework give the OECD Transfer Pricing Guidelines any role or status (e.g. legal binding effect, subsidiary application in the absence of domestic legislation, source of interpretation of domestic legislation and/or treaty provisions, other)?	☒ Yes ☐ No The OECD Transfer Pricing Guidelines are referred in the Cabo Verde's legislation as a source of guidance in the application of the arm's length principle. The preamble of the Ministerial Order (Portaria) n.º 75/2015, of the 31st of December, refers that the OECD Transfer Pricing Guidelines should be taken in consideration in the application of the transfer pricing legal framework and of the arm's length principle, given the complexity of the issue, and the need to avoid double taxation and litigation.	Article 3 Ministerial Order (Portaria) n.º 75/2015, of the 31st of December

¹ Information in transfer pricing country profiles is provided directly by jurisdictions. By publishing the transfer pricing country profiles on the OECD website, the OECD does not certify the accurateness of the information provided therein. Importantly, transfer pricing country profiles published on the OECD website are made available to stakeholders for information purposes only, and are not intended to be used in substitution to a jurisdiction's legal instruments, jurisprudence, or administrative guidance or practice nor relied on as an accurate and complete description of domestic law.

² For purposes of transfer pricing country profiles, the term "domestic transfer pricing framework" refers to a jurisdiction's domestic legislation, regulations, administrative guidance or practice, jurisprudence or governing general principles in the jurisdiction.

3	Does your domestic transfer pricing framework provide for a definition of related parties applicable for transfer pricing purposes? If so, please provide the definition contained under your domestic transfer pricing framework.	☒ Yes ☐ No There shall be deemed to be a special relationship between two entities where one of them has the power to exert, directly or indirectly, a significant impact on the management decisions of the other; this shall be deemed to occur, namely, between: a) An entity and the owners of its equity, or the spouses, ascendants or descendants thereof, holding, directly or indirectly, a participation not lower than 20 per cent of the equity or voting rights; b) Entities in which the same equity owners, respective spouses, ascendants or descendants hold, directly or indirectly, a participation not lower than 20 per cent of the equity or voting rights; c) Entities whose legal relationship enables, by its terms and conditions, one to influence the management decisions of the other, based on facts or circumstances unrelated to the commercial or professional relationship itself, d) Other entities designated by the tax authorities. The arm's length principle is also applicable to any transaction between: a) a Cabo Verdean company and its permanent establishments abroad, or between these permanent establishments; b) A non-resident entity and its permanent establishment in Cabo Verde, or between these and other permanent establishments of that non-resident entity.	Article 66 of the Corporate Income Tax Code
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Transfer Pricing Methods

4	Does your domestic transfer pricing framework provide for transfer pricing methods to be used in respect of transactions between related parties?	☒ Yes ☐ No If affirmative, please check those provided for in your legislation: <table><tr><td>CUP</td><td>Resale Price</td><td>Cost Plus</td><td>TNMM</td><td>Profit Split</td><td>Other (If so, please describe)</td></tr><tr><td>☒</td><td>☒</td><td>☒</td><td>☒</td><td>☒</td><td>☒</td></tr></table>	CUP	Resale Price	Cost Plus	TNMM	Profit Split	Other (If so, please describe)	☒	☒	☒	☒	☒	☒	Article 5 Ministerial Order (Portaria) n.º 75/2015, of the 31st of December
CUP	Resale Price	Cost Plus	TNMM	Profit Split	Other (If so, please describe)										
☒	☒	☒	☒	☒	☒										

		flexibility in cases where none of the five standard methods is considered appropriate, ensuring alignment with the arm's length principle.	
5	Which criterion is provided for in your domestic transfer pricing framework for the application of transfer pricing methods?	Please check all that apply: ☐ Hierarchy of methods ☒ Most appropriate method ☐ Other (<i>if so, please explain</i>) According to Article 6 of Ministerial Order (Portaria) n.º 75/2015, of the 31st of December, the taxpayer shall adopt the most appropriate method, which is defined as the method that is likely to provide the highest degree of estimation of the terms and conditions that independent entities would agree upon, accept or use at arm's length.	Article 5 paragraph 2 Ministerial Order (Portaria) n.º 75/2015, of the 31st of December
6	Does your domestic transfer pricing framework contain specific guidance on commodity transactions?	☒ Yes ☒ For controlled transactions involving commodities, the guidance contained in paragraphs 2.18-2.22 of the TPG is followed. ☐ Domestic transfer pricing framework provides for the use of a specific method for controlled transactions involving commodities (<i>if so, please explain</i>) ☐ No As the domestic legislation does not contain specific guidance on commodity transactions, paragraphs 2.18-2.22 of the TPG would be a source of guidance in the application of the arm's length principle in these cases.	
Comparability Analysis			
7	Does your jurisdiction follow (or largely follow) the guidance on comparability analysis outlined in Chapter III of the TPG?	☒ Yes ☐ No Article 5 of the Ministerial Order n.º 75/2015 identifies the relevant steps to perform a comparability analysis, in alignment with Chapter III of the TPG, and Article 6 of the Ministerial Order n.º 75/2015 identifies the comparability factors to consider in the analysis of controlled transactions under the arm's length principle. The OCDE TPG are a supplementary source of guidance in the application of the arm's length	Article 5 and 6 Ministerial Order (Portaria) n.º 75/2015, of the 31st of December

		principle in any comparability aspects not specifically covered by the domestic legislation. Regarding aggregation or individual testing of transactions, individual testing is preferred. Aggregation is allowed only if certain conditions are met.	
8	Is there a preference in your jurisdiction for domestic comparables over foreign comparables?	☐ Yes ☒ No	
9	Does your domestic transfer pricing framework permit the use of secret comparables for transfer pricing assessment purposes?	☐ Yes ☒ No	
10	Does your domestic transfer pricing framework allow or require the use of an arm's length range and/or statistical measure (e.g. the interquartile range or other percentiles) for determining arm's length remuneration?	☒ Yes ☐ No The domestic legislation allows the use of an arm's length range and of statistical measures for determining an arm's length remuneration, provided that the analytical process underlying the determination of the range or the statistical measure is in alignment with the arm's length principle.	Article 5 paragraph 5 Ministerial Order (Portaria) n.º 75/2015, of the 31st of December
11	Are comparability adjustments required under your domestic transfer pricing framework?	☒ Yes ☐ No When applying a transfer pricing method, and if the terms and conditions of the tested transactions or companies are not fully comparable in any of the relevant aspects required for an arm's length test, comparability adjustments must be performed to eliminate the effect of the existing relevant differences.	Article 5 Ministerial Order (Portaria) n.º 75/2015, of the 31st of December
Intangible Property			
12	Does your domestic transfer pricing framework contain guidance specific	☐ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter VI of the TPG? ☐ Yes	

	to the pricing of controlled transactions involving intangibles?	☐ No (please provide further explanations below) ☒ No Controlled transactions involving intangibles follow the general transfer pricing rules prescribed in the Cabo Verdean legislation, in alignment with Chapter VI of the TPG. The OCDE TPG are a supplementary source of guidance in the application of the arm's length principle to controlled transactions involving intangibles, in aspects not specifically covered by the domestic legislation.	
13	Are there any other rules outside your transfer pricing framework that are relevant for the pricing of controlled transactions involving intangibles?	☐ Yes ☒ No	
Hard-to-Value Intangibles ³			
14	Does your domestic transfer pricing framework contain guidance specific to hard-to-value intangibles (HTVI)? ⁴	☐ Yes. If so, does your domestic transfer pricing framework follow the guidance on HTVI in Chapter VI of the TPG? ☐ Yes ☐ No (please provide further explanations below) ☒ No Cabo Verde has not yet expressly adopted the HTVI approach as defined in Chapter VI of the OECD Transfer Pricing Guidelines. However, the Cabo Verdean legislation contains a reference to the OECD Transfer Pricing Guidelines as a source of supplementary guidance in the application of the arm's length principle, particularly in what concerns complex technical issues or in case of omissions in the domestic transfer pricing regime. In consequence, and although it is not expressly adopted in the national legislation, there is also no impediment to the application of the HTVI approach, as defined in Chapter VI of the OECD Transfer Pricing Guidelines, within the statute of limitations period (five years, starting from the beginning of the fiscal year following the year in which the tax issue was identified or raised).	

³ Please note that questions in this section are imported from the HTVI questionnaire and integrated into this TPCP to centralise all jurisdiction-related transfer pricing information.

⁴ In the case of jurisdictions that do not apply the HTVI approach (i.e. they responded “no” to question 14), it is not necessary to respond to the remaining questions in the HTVI section and these questions will not be published as part of jurisdiction’s transfer pricing country profile.

Intra-group Services			
23	Does your domestic transfer pricing framework provide guidance specific to intra-group services transactions?	☒ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter VII of the TPG? ☒ Yes ☐ No (please provide further explanations below) ☐ No	Article 13 Ministerial Order (Portaria) n.º 75/2015, of the 31st of December
		Article 13 of the Ministerial Order n.º 75/2015, gives guidance on the application of the Arm's Length Principle to intra-group services transactions, in alignment with the guidance of the OECD TPG.	
24	Does your domestic transfer pricing framework provide for or allow the application of a simplified approach for low value-adding intra-group services?	☐ Yes. If so, does it follow (largely follow) the low value-adding services approach in Chapter VII? ☐ Yes ☐ No (please provide further explanations below) ☒ No	
25	Are there any other rules outside your transfer pricing framework for pricing intragroup services?	☐ Yes ☒ No	
Financial Transactions			
26	Does your domestic transfer pricing framework provide guidance specific to financial transactions?	☐ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter X of the TPG? ☐ Yes ☐ No (please provide further explanations below) ☒ No	Article 13 Ministerial Order (Portaria) n.º 75/2015, of the 31st of December
		Although domestic legislation does not contain specific guidance on financial transactions between related parties, both Article 65 of the Corporate Income Tax Code (CITC) and Preamble of the Ministerial Order (Portaria) n.º 75/2015, make	

		clear that the arm's length principle is applicable to those transactions. Additionally, the OCDE TPG are a supplementary source of guidance in the application of the arm's length principle to controlled transactions in aspects not specifically covered by the domestic legislation.	
27	Are there any other rules outside your transfer pricing framework that are relevant for the tax treatment of financial transactions? (e.g. whether your jurisdiction has implemented the measures in BEPS Action 4 to limit interest deductions and other financial payments or any similar rules)	☒ Yes ☐ No Article 68 of the Corporate Income Tax Code limits interest deductions for the purposes of the determination of a company's taxable income, following the guidance in BEPS Action 4.	Articles 68 of the Corporate Income Tax Code
Cost Contribution Arrangements			
28	Does your jurisdiction allow cost contribution arrangements?	☒ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter VIII of the TPG? ☒ Yes ☐ No (please provide further explanations below) ☐ No Article 17 of the Ministerial Order n.º 75/2015 gives generic guidance on the application of the Arm's Length Principle to cost contribution agreements, in alignment with the guidance of the OECD TPG.	Article 17 Ministerial Order (Portaria) n.º 75/2015, of the 31st of December

Transfer Pricing Documentation

29	Does your domestic transfer pricing framework require the taxpayer to prepare transfer pricing documentation?	☒ Yes ☐ No <i>If affirmative, please check all that apply:</i> ☐ Master file consistent with Annex I to Chapter V of the TPG ☒ Local file consistent with Annex II to Chapter V of the TPG ☒ Country-by-country report consistent with Annex III to Chapter V of the TPG ☒ Specific transfer pricing returns (separate or annexed to the tax return) ☐ Other (specify):	TPD (LF): Articles 14, 15 and 16 Ministerial Order (Portaria) n.º 75/2015, of the 31st of December CbCR: Articles 105 and 106 of the Corporate Income Tax Code
30	Please briefly explain the relevant requirements related to each transfer pricing documentation requirement (i.e. timing for preparation or submission, languages, etc.)	Transfer pricing documentation must be prepared until 31 July of the year following the end of the tax year in case the tax year corresponds to the calendar year (last day of the seventh month following the end of the tax year in case the tax year is different from the tax year). The documentation should be prepared in Portuguese. Transfer pricing documentation is submitted upon request. The same deadline and conditions apply to the filing of the TP return. CbCR must be submitted until the end of the 12th month after the end of the fiscal year to which it refers. Each constituent entity of a MNE group must identify by filing the adequate form, the reporting entity of the MNE group, until the end of the 5th month after the end of the fiscal year to which the inherent CbCR refers. CbCR should be sent in Portuguese, however the tax administration may also accept submissions in English to facilitate the exchange of information on CbCR. For a MNE with multiple entities in Cabo Verde, it is required to have stand-alone transfer pricing reports for each entity. Taxpayers must maintain contemporaneous information and documentation regarding the TP policy adopted in the determination of transfer prices on an annual basis.	TP Documentation: Article 65 paragraph 4 and Article 102 of the Corporate Income Tax Code TP Return: Article 66 paragraph 3 and 104 of the Corporate Income Tax Code CbCR: Article 105 of the Corporate Income Tax Code
31	Does your domestic transfer pricing framework provide for specific transfer pricing penalties and/or	☒ Yes ☐ No	Article 98-C and article 99 of the Cabo Verdean Taxation Infringements General Law

	compliance incentives regarding transfer pricing documentation?	Failure to present the transfer pricing documentation is punished with a penalty of CVE 100 000 (approx. EUR 905) to CVE 2 500 000 (approx. EUR 22 700), if not regarded as tax fraud. In case of fraud, penalties are higher. Any inaccuracies in the information provided in the TP documentation, in the TP returns or in CbCR are punished with a penalty of CVE 70 000 (approx. EUR 630) to CVE 750 000 (approx. EUR 6 800). Failure to present the CbCR is punished with a penalty of CVE 50 000 (approx. EUR 455) to CVE 1 500 000 (approx. EUR 13 600).	Article 98-C and article 99 of the Cabo Verdean Taxation Infringements General Law Article 96 of the Cabo Verdean Taxation Infringements General Law
32	Does your domestic transfer pricing framework provide for exemption from transfer pricing documentation obligations?	☒ Yes ☐ No The obligation to prepare the transfer pricing documentation generally does not apply to any taxable person whose net sales and other income in the previous fiscal year are less than CVE 300 million or EUR 2.7 million and entities with a total tax paid not exceeding CVE 15 million or EUR 136 000 (and who is not classified as a Large Taxpayer). This threshold is not applicable to the transfer pricing return, that has no threshold, or to CbCR, that replicates the guidance of BEPS Action 13.	Article 14 paragraph 2-A Ministerial Order (Portaria) n.º 75/2015, of the 31st of December Large Taxpayer definition on Article 2 paragraph 1-A Ministerial Order (Portaria) n.º 24/2023, of the 13th of May 2023 which amends Ministerial Order (Portaria) n.º 55/2013, of the 14th of November 2013
Administrative Approaches to Avoiding and Resolving Disputes			
33	Which mechanisms are available in your jurisdiction to prevent and/or resolve transfer pricing disputes?	Please check those that apply: ☒ Rulings ☐ Enhanced engagement or cooperative compliance programmes ☐ Advance Pricing Agreements (APA) ☐ Unilateral APAs ☐ Bilateral APAs ☐ Multilateral APAs ☐ International Compliance Assurance Programme (ICAP) ☒ Mutual Agreement Procedures ☐ Other (<i>please specify</i>):	Article 14 paragraph 18 Ministerial Order (Portaria) n.º 75/2015, of the 31st of December Article 65 paragraph 6 of the Corporate Income Tax Code

		In Cabo Verde, corresponding adjustments cannot be granted unilaterally. They are only available under a Double Taxation Agreement through the Mutual Agreement Procedure (MAP). In the absence of a treaty, no corresponding adjustment can be made. Binding rulings: The General Tax Code provides the taxpayer the possibility of obtaining a binding ruling. The binding ruling is limited to a certain time period, which is determined on a case-by-case basis by the tax authorities. The ruling is subject to the payment of a fee. Cabo Verde does not currently provide for APAs—that is, there is no explicit legal or regulatory framework allowing taxpayers to enter APAs with the tax authorities regarding transfer pricing arrangements.	
Simplified and Streamlined Approach for Baseline Marketing and Distribution Activities			
34	Does your domestic transfer pricing framework allow the application of the simplified and streamlined approach for baseline marketing and distribution activities in the relevant Annex of Chapter IV of the TPG?	☐ Yes ☒ No ☐ Other (please elaborate)	
		Currently, the Simplified and Streamlined Approach (Amount B) is under consideration and being evaluated in Cabo Verde.	
35	If your domestic transfer pricing framework allows the application of the simplified and streamlined approach, how is it implemented?	☐ In-scope tested parties resident within the jurisdiction can elect to apply the simplified and streamlined approach (i.e. safe harbour) ☐ In-scope tested parties resident within the jurisdiction are required to follow the simplified and streamlined approach for in-scope qualified transactions and tax administrations are allowed to impose the application of the simplified and streamlined approach to in-scope qualified transactions of tested parties resident within their jurisdiction (i.e. rule) ☒ N/A	

36	If your domestic transfer pricing framework allows the application of the simplified and streamlined approach, what is the operating expense to sales (OES) upper bound chosen by your jurisdiction regarding scoping criterion 13.b?	☐ 20% ☐ 30% ☐ Other (please specify) ☒ N/A	
37	Does your jurisdiction respect the outcome of the application of the simplified and streamlined approach by a covered jurisdiction in line with the Inclusive Framework political commitment?	☒ Yes ☐ No As a member of the Inclusive Framework, Cabo Verde has endorsed the political commitment to implement the Simplified and Streamlined Approach (Amount B). However, as of July 2025, there is no domestic regulation yet concerning its application.	
38	If your domestic transfer pricing framework allows the application of the simplified and streamlined approach for resident in-scope tested parties, does your jurisdiction respect the outcome of the application of such approach by another jurisdiction that is not a covered jurisdiction?	☐ Yes ☒ No As of July 2025, Cabo Verde has no domestic regulation implementing the Simplified and Streamlined Approach (Amount B). Accordingly, there is no legal basis to respect or give effect to the outcome of such approach applied by another jurisdiction that is not a covered jurisdiction. Any potential recognition would depend on future domestic legislation or applicable Double Taxation Agreements through the MAP process.	
Safe Harbours and Other Simplification Measures			
39	Does your jurisdiction provide for any safe harbours or other simplification measures in respect of certain industries, types of taxpayers, or types of transactions (not listed in other sections of this questionnaire)?	☐ Yes ☒ No	

Other Legislative Aspects or Administrative Procedures

40	Does your domestic transfer pricing framework allow downward corresponding adjustments in the absence of a mutual agreement procedure (e.g. unilateral corresponding adjustments)?	☐ Yes ☒ No	
41	Does your domestic transfer pricing framework allow or require taxpayers to make year-end adjustments?	☒ Yes. Year-end adjustments are required. ☐ Yes. Year-end adjustments are allowed. ☐ No Year-end accounting adjustments are required in those circumstances where the companies use an arm's length range and, at the end of the year, need to adjust a profit level indicator in order to comply with that arm's length range. Companies are not allowed to perform corresponding adjustments.	Article 4, Ministerial Order (Portaria) n.º 75/2015, of the 31st of December Article 65 paragraph 5 of the Corporate Income Tax Code
42	Does your domestic transfer pricing framework provide for secondary adjustments?	☐ Yes ☒ No	

Attribution of Profits to Permanent Establishments

43	Which version of Article 7 of the OECD Model Tax Convention on Income and on Capital do your tax treaties contain?	☐ Article 7 as it read before 2010. ☐ If so, please indicate in how many treaties: ☒ Article 7 as it reads after 2010. ☒ If so, please indicate in how many treaties: 6 Treaties in force (Portugal, Mauritius, Macau, Spain, Economic Community of West African States (ECOWAS). Cabo Verde has also signed double tax treaties with Angola, Equatorial Guinea, Guinea-Bissau, Luxembourg, Morocco, São Tomé and Príncipe, Senegal, and Singapore, but these treaties are not yet in force. ☐ Other (please provide additional details)	Article 2, paragraph 1-b), Ministerial Order (Portaria) n.º 75/2015, of the 31st of December
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44	For tax treaties containing Article 7 as it read before 2010, does your jurisdiction apply the authorized OECD approach (AOA)?	☒ Yes ☐ No (please explain the approach used and which tax treaties are concerned)	Preamble, Article 2, paragraph 2-b) and Article 14 paragraph 2-c) of the Ministerial Order (Portaria) n.º 75/2015, of the 31st of December
		Cabo Verde does not have any tax treaty with the pre-2010 version of Article 7 of the OECD Model Tax Convention. However, the preamble of the Ministerial Order (Portaria) n.º 75/2015, of the 31st of December, establishes that the application of the arm's length principle to controlled transactions involving permanent establishments should consider the OECD guidance included in the Reports on the Attribution of Profits to Permanent Establishments, published in 2008 and 2010.	
45	Does your domestic transfer pricing framework contain specific guidance for the attribution of profits to permanent establishments of non-resident entities? If so, please provide a summary of the main features of this guidance.	☐ Yes, they follow the AOA as described in the 2008 Report on the Attribution of Profits to Permanent Establishments ☐ Yes, they follow the AOA as described in the 2010 Report on the Attribution of Profits to Permanent Establishments ☐ Yes, they do not follow the AOA (please provide a summary of the main features of these rules) ☒ No	
Other Relevant Information			
46	Other legislative aspects or administrative procedures regarding transfer pricing	N/A	
47	Other relevant information (e.g. <i>whether your jurisdiction is preparing new transfer pricing regulations, or other relevant aspects not addressed in this questionnaire</i>)	Domestic transactions are also subject to Transfer Pricing. They must be reported and should be in line with the arm's length principle.	

For more information, please visit: <https://www.oecd.org/en/topics/sub-issues/transfer-pricing/transfer-pricing-country-profiles.html>